METHODS OF SAVING

01
RANDOM METHOD

This method refers to randomly made investments with no fixed patterns. Whenever we find ourselves with extra money, we will buy some assets. This is the method used by most people and this is a very inefficient method to plan our finances.

02
ABSOLUTE METHOD

Here, we decide a particular amount that we will save/invest every month (say Rs. 20,000 per month). Even if our salary increases, we are stuck at investing that amount per month. We do not increase or decrease the amount based on activities.

METHODS OF SAVINGS

03
PERCENTAGE OF SALARY METHOD

We save a percentage of our income (say 20% of income). If the income increases, the savings will increase in the same proportion. This method does not bother to consider financial goals and the desired outcomes. Hence, it exposes us to a risk of shortfall.

04
GOAL ORIENTED METHOD

We have to identify our financial goals, asset classes and expected returns and reverse engineer to decide our saving pattern to meet the goals. This method is used by the least number of people.

The goal-oriented approach is the most effective of all saving techniques as it takes into consideration the end goals that need to be achieved. It also builds a sense of discipline and consistency. As of now, we are to identify which method to use. Going forward, with the Lazy Financial Plan, we will use the goal-oriented method. We might take some time to get comfortable with it, but once we have done that, it will give the maximum results. With this, we end our first phase of profiling.